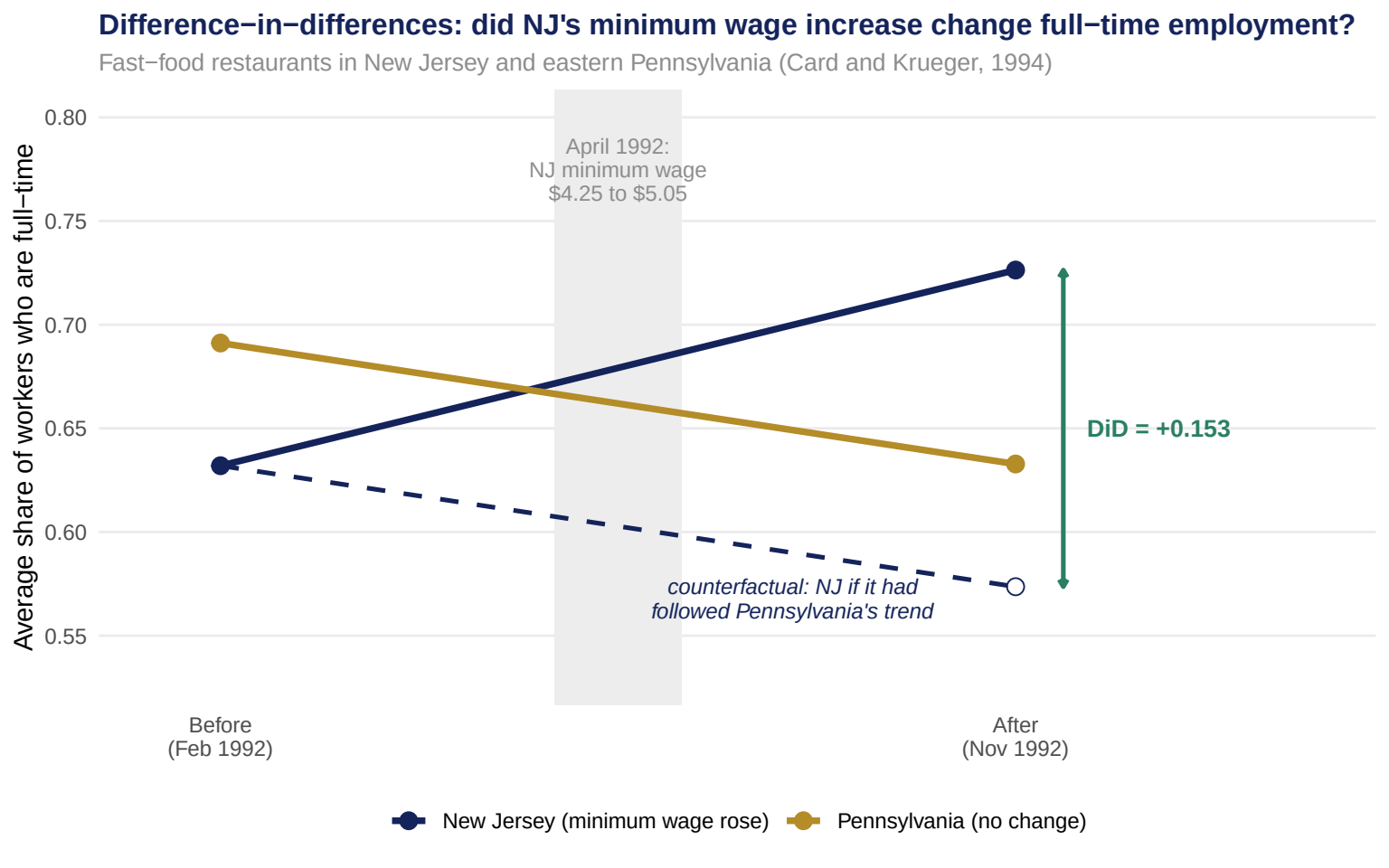
Difference−in−differences: did NJ's minimum wage increase change full−time employment?
Fast−food restaurants in New Jersey and eastern Pennsylvania (Card and Krueger, 1994)
Average share of workers who are full−time
0.80
0.75
0.70
0.65
0.60
0.55
April 1992:
NJ minimum wage
$4.25 to $5.05
DiD = +0.153
counterfactual: NJ if it had
followed Pennsylvania's trend
Before
(Feb 1992)
After
(Nov 1992)
New Jersey (minimum wage rose)
Pennsylvania (no change)